EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Alcala was established as a regular municipality by virtue of a Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as a third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Operational and Financial Highlights

B.1. Programs, Projects and Activities completed in CY 2021

#	Project/Program/Activity Name	Total Cost
1	Construction of One unit Green House	1,595,000.00
2	Purchase of Booster Pump for AMWS	550,105.00
3	Rehabilitation of Water System (Replacement of Broken Electrical Poles)	282,958.81
4	Improvement of Water System Level 3 (Construction of 3 phase private line Water System)	672,073.50
5	Purchase of various materials for AMWS	714,490.00
6	Rehabilitation of Cagayan and Pared River Alcala Segments (Channel Realignment)	5,619,418.56
7	Upgrading of Tamban-Tupang River Port Access Road	2,999,942.83
8	Construction of Comfort Room	562,755.84
9	Construction of Municipal Kitchen	432,854.93

10	Construction of Baybayog Agri-Trade & Tourism Activity Center (Phase 2)	20,025,260.28
11	Construction of Tobacco Farmers Warehouse	1,999,977.01
12	Concreting of Baculod-Calcalaniog Farm to Market Road	1,999,953.00
13	Upgrading/Concreting of Tamban Bangkero Access Road	2,947,117.81
14	Concreting of Anaraar Farm to Market Road (Anaraar, Calantac, Alcala, Cagayan)	9,999,963.43
15	Agani- Purchase & Development of Lot for Evacuation Area	199,919.29
16	Baculod-Purchase & Development of Lot for Evacuation Area	199,789.20
17	Centro sur-Purchase & Development of Lot for Evacuation Area	199,964.25
18	Dalaoig-Purchase & Development of Lot for Evacuation Area	100,000.00
19	Dalaoig-Construction of Concrete Drainage	98,523.00
20	Pagbangkeruan-Purchase & Development of Lot for Evacuation Area	199,784.48
21	Pinopoc-Purchase & Development of Lot for Evacuation Area	199,932.70
22	Piggatan-Purchase & Development of Lot for Evacuation Area	110,000.00
23	Piggatan-Finishing of Barangay Evacuation Center	90,000.00
24	San Esteban-Purchase & Development of Lot for Evacuation Area	200,000.00
25	Rehabilitation of Cagayan Pared River	5,499,007.37
26	Abbeg-Construction of 2 units Pressurized Water System	199,999.87
27	Agani- Construction of Learning Center	199,788.03
28	Afusing Batu-Rehabilitation of FMR	199,997.00
29	Afusing Daga-Const.of Drainage Canal-Cataraoan	199,244.76
30	Baybayog 1-Rehabilitation of FMR	100,000.00
31	Baybayog 2-Installation of Artesian Well	99,930.00
32	Centro Norte-Improvement of Manpower Building (Purchase of floor tiles)	200,000.00
33	Centro Sur-Opening of Domingo Street	199,749.72
34	Malalatan 1-Concreting of Barangay Road	199,998.65
35	Maraburab-Improvement of Multi-Purpose Building	200,000.00
36	San Esteban-Construction of Brgy. Road	199,995.00
37	Tamban-Concreting of FMR	199,788.71
38	Tupang-Construction of Evacuation Center	198,681.03
	TOTAL	**59,895,964.06**

B.2. Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
Financial Condition			
Total Assets	P431,883,324.80	P406,261,382.59	P25,621,942.21

Particulars	2021	2020	Increase (Decrease)
Total Liabilities	46,310,829.30	73,282,818.50	(26,971,989.20)
Total Government Equity	385,572,495.50	332,978,564.09	52,593,931.41
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	202,265,833.31	185,294,033.29	16,971,800.02
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	164,285,056.11	137,675,249.31	26,609,806.80
	2020	**2019**	**Increase (Decrease)**
Appropriations, Allotments and Obligations:			
Appropriations-Current	P211,666,466.12	P197,549,721.31	P14,116,744.81
Appropriations-Continuing	22,238,928.89	107,764,313.74	(85,525,384.85)
Obligations – Current	180,698,076.97	146,405,807.56	34,292,269.41
Obligations –Continuing	9,587,014.38	73,262,497.79	(63,675,483.41)
Funds Received from Other Agencies			
NGAs	19,294,742.63	88,345,630.51	(69,050,887.88)
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	270,000.00	(270,000.00)
Total	**19,294,742.63**	**88,615,630.51**	**(69,320,887.88)**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	285,000.00	(285,000.00)
NGO/POs	-	-	-
Others	-	-	-
Total	**P -**	**285,000.00**	**P (285,000.00)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2021 due to the following because these are materially misstated by an aggregate amount of P15,308,066.28 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Alcala disclosed misstatements totaling P15,308,066.28 in absolute value as follows:

Account	Asset	Liability	Prior Period Revenue/ Expense	Total
Cash in Local Treasury	443,954.39			443,954.39
Cash in Bank LCCA	106,281.44			106,281.44
Special Education Tax Receivable	275,099.23			275,099.23
Other Receivables	761,277.72			761,277.72
Due from Other Funds	34,177.72			34,177.72
Accounts Payable		1,905,047.96		1,905,047.96
Due to Officers and Employees		1,882,298.29		1,882,298.29
Other Payables		20,000.00		20,000.00
Due to Other Funds	216,499.23	73,497.00		289,996.23
Due to NGAs		1,004,069.21		1,004,069.21
Due to GOCCs		2,720.00		2,720.00
Guaranty/Security Deposits Payable		568,149.85		568,149.85
Trust Liabilities		5,000.00		5,000.00
Trust Liabilities LDRMM		305.60		305.60
Other Payables		1,779,594.38		1,779,594.38
Prior Period Adjustment			6,230,094.26	6,230,094.26
Total	**1,837,289.73**	**7,240,682.29**	**6,230,094.26**	**15,308,066.28**

As a result, the following accounts in the financial statements of the Municipality of Alcala were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Cash Local Treasury		443,954.39	1
Cash in Bank -Local Currency, Current Account		19,996.00	2,3,4
Special Education Tax Receivable		216,499.27	3,5
Due from Other Funds	250,676.99		4,5
Other Receivables	761,277.72		6,7
Accounts Payable		1,717,116.52	9,10,15
Due to Officers and Employees		1,882,298.29	11
Due to NGAs		797,075.21	10,12,13
Due to GOCCs	2,720.00		12
Due to Other Funds		73,497.00	13
Trust Liabilities	5,000.00		12
Trust Liabilities - Disaster Risk Reduction and Management Fund	305.60		12

Guaranty/Security Deposits Payable	568,149.85		12,15
Other Payables		1,779,594.38	15
Prior Period Adjustments	6,004,911.00	443,954.39	1,3,4,6,9,11,12,15,

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. Other Receivables aging two to 13 years totaling P13,259,059.70 remain unsettled which is not in consonance with Section 2 of Presidential Decree (P.D.) No. 1445, thus may result to loss of government fund.

   We recommended that Management:

   a. issue at least three (3) demand letters to the accountable officials, former employees and contractor for the immediate settlement of their liability to the LGU in the total amount of P7,248,048.17;

   b. request for write off of receivables which are dormant for more than 10 years in the amount of P11,011.53 in accordance with COA Circular 2016-005 dated December 19, 2016; and

   c. require the officials of Alcala Tobacco Farmers Cooperative to submit the Utilization Report of the financial assistance granted to them amounting to P6,000,000.00.

2. There was a discrepancy of P2,968,389.39 between some Property, Plant and Equipment (PPE) account balance of P77,611,677.41 and Report of Physical Count of Property, Plant and Equipment (RPCPPE) of P74,643,288.03 which is not in keeping with Sections 111 and 114 (2) of Presidential Decree (P.D.) No. 1445 thus, the accuracy and reliability of the account is doubtful and affects the fair presentation of the account in the Financial Statements.

   Likewise, 624 unserviceable items in the total amount of P2,871,335.29 were not yet disposed of as of this time.

   We recommended that Management:

   a. continuously exert effort to reconcile the remaining difference of P2,968,389.39 balances between the PPE accounts and RPCPPE to ensure fair presentation of the accounts in the Financial Statements; and

b. conduct disposal of the 624 items of unserviceable PPE by accomplishing the required Inventory and Inspection Report of Unserviceable Properties pursuant to Annex 51 of the Manual on New Government Accounting System for LGUs which serve as the basis in dropping said items in the RPCPPE and books of accounts.

3. The Subsidiary Balances of some Due to NGAs account did not reconcile with the records of the five Source Agencies (SA) having a net difference of P111,945.78 which is not in keeping with Section 111 of Presidential Decree No. 1445.

   We recommended that Management instruct the Accountant to account the unreconciled net difference of P111,945.78 by verifying the individual Subsidiary Ledgers and check against the subsidiary record of the corresponding source agency.

4. Eleven projects or 49% out of the 37 projects funded out of the 20% Development Fund for CY 2021 were not implemented as of December 31, 2021, which is not in accord with Item 5 of DILG DBM Joint Memorandum Circular No. 2017-1, resulting in the non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.

   Also, 27 projects out of the 158 projects funded out of the 20% Development Fund from CY 2015 to CY 2020, were not yet implemented as of December 31, 2021.

   We recommended that Management prioritize the implementation of 46 projects targeted in CY 2013 to CY 2021 totaling to P8,517,608.97, to ensure effective delivery of socio-economic development and benefits to its constituents.

5. Contracts together with supporting documents of various procurement of infrastructure projects totaling to P59,895,964.06 were not submitted to the Office of the Auditor for contract/auditorial review, which is not in consonance with Item 3.1.1 and 3.1.2 of COA Circular 2009-001 dated February 12, 2009 and Section 37.2.1 of the Revised Implementing Rules and Regulations of RA 9184.

   We recommended that the Management submit the contracts and complete supporting documents of the 38 infrastructure projects amounting to P59,895,964.06 required in Item 3.1.1 and 3.1.2 of COA Circular 2009-001 dated February 12, 2009 and Section 37.2.1 of the Revised Implementing Rules and Regulations of RA 9184, to ensure legality, validity and propriety of the transactions and compliance with the procurement process required in RA 9184.

E. Remittances of GSIS, Pag-IBIG and PhilHealth Premiums

The LGU has complied with the rules on the proper deductions of GSIS, Pag-IBIG and PhilHealth premiums from the salaries of employees and the timely remittances of these premiums to the GSIS, Pag-IBIG and PhilHealth in accordance with R.A Nos. 8291, 9679 and 7875, respectively.

F. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P -**	**P -**	**P -**	**P -**	-

G. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report is summarized as follows:

Implemented		23
Not Implemented	3	
Not Implemented and restated in Part II of this report	11	14
TOTAL		**37**

ITO Form No. 04

ERRATA				
Particulars	**Date Published**	**Location/ Page**	**As Published in the COA Website**	**Correction**
LGU Alcala, Isabela 2021 Annual Audit Report	May 13, 2022	Executive Summary; Table B.2 Appropriations, Allotments and Obligations	Table Heading 2020 and 2019	Table Heading should be 2021 and 2020

Requested by:

GERALDIN B. ANIAG
OIC-Audit Team Leader

Authorized by:

RITA R. PABLO
Supervising Auditor

Date: May 23, 2022

EXECUTIVE SUMMARY

A. Introduction

Agency Profile

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As a result, the following accounts in the financial statements of the Municipality of Alcala were misstated as follows:

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   We recommended that Management:

   a. issue at least three (3) demand letters to the accountable officials, former employees and contractor for the immediate settlement of their liability to the LGU in the total amount of P7,248,048.17;

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   c. require the officials of Alcala Tobacco Farmers Cooperative to submit the Utilization Report of the financial assistance granted to them amounting to P6,000,000.00.

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   We recommended that Management instruct the Accountant to account the unreconciled net difference of P111,945.78 by verifying the individual Subsidiary Ledgers and check against the subsidiary record of the corresponding source agency.

4. Eleven projects or 49% out of the 37 projects funded out of the 20% Development Fund for CY 2021 were not implemented as of December 31, 2021, which is not in accord with Item 5 of DILG DBM Joint Memorandum Circular No. 2017-1, resulting in the non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.

   Also, 27 projects out of the 158 projects funded out of the 20% Development Fund from CY 2015 to CY 2020, were not yet implemented as of December 31, 2021.

   We recommended that Management prioritize the implementation of 46 projects targeted in CY 2013 to CY 2021 totaling to P8,517,608.97, to ensure effective delivery of socio-economic development and benefits to its constituents.

5. Contracts together with supporting documents of various procurement of infrastructure projects totaling to P59,895,964.06 were not submitted to the Office of the Auditor for contract/auditorial review, which is not in consonance with Item 3.1.1 and 3.1.2 of COA Circular 2009-001 dated February 12, 2009 and Section 37.2.1 of the Revised Implementing Rules and Regulations of RA 9184.

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E. Remittances of GSIS, Pag-IBIG and PhilHealth Premiums

The LGU has complied with the rules on the proper deductions of GSIS, Pag-IBIG and PhilHealth premiums from the salaries of employees and the timely remittances of these premiums to the GSIS, Pag-IBIG and PhilHealth in accordance with R.A Nos. 8291, 9679 and 7875, respectively.

F. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P -**	**P -**	**P -**	**P -**	-

G. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report is summarized as follows:

Implemented		23
Not Implemented	3	
Not Implemented and restated in Part II of this report	11	14
TOTAL		**37**